Executive Investment Brief | NFS

Independent Seacoast-style junior capital case | 06 Nov 2026 | For analytical discussion only

SCREEN / DECISION	HYPOTHETICAL INVESTMENT	RESEARCH CONFIDENCE
DO NOT INVEST AS PRICED	$12.00m, $8m sub debt / $4m preferred, plus 5% warrant	Company facts partial; financial statements and capital request unverified

Investment question

Could non-controlling junior capital fund vehicle-upfitting expansion for a family-operated U.S. provider while preserving management control and delivering acceptable current yield, downside protection and investor returns? NFS is a real company selected for a desktop exercise, but it has **not** been shown to be raising capital and all financial inputs are hypothetical.

Why this business merits a limited screen

NFS was founded in 1996, operates across four U.S. regions, works in OEM-adjacent commercial fleet customization, and reports an Avon Lake facility with annual modification capacity of up to 25,000 vehicles. The company publishes customer testimonials naming U-Haul and Sunbelt Rentals. These facts support an operating-quality hypothesis but do not establish earnings, backlog, actual utilization or contract concentration. [S05-S09]

Capital package and key underwriting assumptions

Financial assumption	Model input	Why it matters
FY0 revenue / EBITDA	$32.00m / $5.44m	Entirely assumed; Seacoast min criteria cannot be verified
Junior investment	$8.00m debt + $4.00m pref	Capital use for facility, working capital, quality systems, closing costs
Cash pay + PIK	10.0% blended cash; 3.0% pref PIK	Current yield supported only by hypothetical free cash flow
Debt-equivalent leverage	3.13x at close	Preferred counted conservatively as leverage
Warrant / term	5% participation; 5-year exit	Assumed non-control economics; no proposed company terms

Five-year investor outputs

Metric	Downside	Base	Upside
Gross IRR	12.0%	13.8%	15.1%
Gross MOIC	1.63x	1.75x	1.85x
Lowest fixed charge coverage	1.12x	1.41x	1.51x
Cash yield	10.0%	10.0%	10.0%

Underwriting judgment

All three cases fail the independently assumed 16.0% gross-return target. Base-case pricing would require approximately 9.01% penny-warrant participation to reach this target with other terms unchanged; a 10% sensitivity produces about 16.5%. However, more equity participation cannot fix downside operating cash-flow resilience. The downside case falls to 1.12x on fixed-charge coverage, below the analyst 1.20x screen. Financial inputs are hypothetical. Diligence and evidence links are in the workbook Source Register [S01-S13].